TRIPPING ON REFORMS

Frequent power failures during peak demand underline the need to take up major restructuring in the sector

Anilesh S. Mahajan



R.K. Singh
Minister of power, new and renewable energy

BANDEEP SINGH

THE EARLY SUMMER sudden peak in electricity demand in the second half of April exposed the vulnerability of the country's power sector. On April 27, peak demand crossed 207.1 GW and supplies fell short by at least 10 GW. The power plants were gasping for fuel, distribution companies (discoms) were struggling to arrange cash and many of them didn't have robust distribution networks to cater to the surge in demand. Major parts of the country saw load shedding of more than eight hours daily.

In July 2021, when R.K. Singh was elevated to cabinet minister, many considered it to be a reward for the work he had done to take electricity to every home in the country. But work-wise, Singh has had limited success. In the past three years, the power ministry made slow progress in pushing the amendments in the Electricity Act, the draft of the Atal Distribution System Improvement Yojana (ADITYA) scheme—referred to as UDAY 2.0—hasn't seen the light of day, and the new tariff policy is still in consultation mode. In fact, the improved version of the ADITYA scheme was rolled out as the Revamped Distribution Sector Scheme (RDSS) in the last week of April, with an outlay of Rs 3.03 lakh crore. It aims to cut line losses, build infrastructure for discoms and instal smart meters. The discoms still have dues worth Rs 1.9 lakh crore.

Even though they are under state control, but the minister has plans to use a "carrot and stick" approach to discipline discoms. The schemes and their funds disbursal will play a pivotal role here. However, Singh did manage to bring in rules ensuring the rights of consumers to have time-bound services, and to levy surcharge on discoms if they make late payments to the generation companies. The implementation of these rules have still a way to go, though.

Indeed, execution is the big problem. The new tariff policy (NTP) and the amendments in the Electricity Act are considered massive reforms—it will not only bring discipline to the discoms but will also clean up much of the mess in the system. While the amendments do require Singh to take the legislative route, NTP can be done with executive orders to the regulators.

Meanwhile, Singh is taking a lot of flak for the power shortfall mess and his directions to the states to go for coal imports (from October) rather than rely on supplies from Coal India Limited. ■

WHAT'S DONE

- **All homes and commercial places in the country have electricity connection**
- **RDSS scheme launched targeting power line losses, installation of smart meters**
- **For renewable energy, wheeling charges waived, must run status given, GTAM market started, iDAM market gets separate trading, pricing**

CHALLENGES AHEAD

- **Electricity Act amendments to be tabled in Parliament**
- **New tariff policy must be implemented**
- **Separate law to govern renewable energy needed**
- **Inter State Council has to review implantation of distribution sector reforms and grants extended to state under Article 275 of the Constitution**